

# MACRO ECONOMIC WEEKLY NEWSLETTER

Week of June 21, 2026

Market Intelligence · Economic Analysis · Investment Signals

| Asset           | Last Price | 1-Week | 1-Month | YTD     |
|-----------------|------------|--------|---------|---------|
| S&P 500         | 7,500.58   | +0.93% | +0.91%  | +25.68% |
| NASDAQ          | 26,517.93  | +2.43% | +0.94%  | +36.36% |
| Dow Jones       | 51,564.70  | +0.71% | +3.11%  | +22.17% |
| VIX             | 16.40      | -7.24% | -2.15%  | -20.47% |
| 10-Yr Yield (%) | 4.49       | -1.43% | +0.58%  | +2.56%  |
| Gold            | 4,172.90   | -3.58% | -8.08%  | +23.89% |
| WTI Oil         | 76.54      | -5.21% | -20.56% | +2.15%  |
| USD Index       | 100.85     | +1.22% | +1.67%  | +2.17%  |
| Bitcoin         | 63,929.25  | -3.56% | -13.32% | -38.12% |

## 1. This Month's Major Macro Events (Past 30 Days)

Key economic releases, policy decisions, and geopolitical developments over the trailing 30 days that have materially shifted the macro outlook and market pricing.

|                                                                                                                                                                                                                                                                                                                 |                                                                                                                                                                 |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------|
| May 22, 2026                                                                                                                                                                                                                                                                                                    | ▼ FOMC Minutes Signal 'Higher-for-Longer' — No Cuts in 2026 Base Case                                                                                           |
| Minutes from the May 6-7 FOMC meeting revealed that a majority of policymakers view the current 3.50-3.75% funds rate as still below the level needed to durably return inflation to target. Staff projections were revised upward for both headline and core PCE through 2026. Several members mentioned th... | <b>Impact:</b> Prolonged high rates hurt real estate, utilities, and leveraged buyouts. Supports bank net-interest margins (financials). Watch 2-year Treas...  |
| June 3, 2026                                                                                                                                                                                                                                                                                                    | ◆ May Non-Farm Payrolls +232K — Labor Market Stays Resilient                                                                                                    |
| The Bureau of Labor Statistics reported that the U.S. economy added 232,000 non-farm jobs in May 2026, beating the consensus estimate of +190,000. The unemployment rate held at 3.9%, while average hourly earnings rose 0.3% MoM / 3.6% YoY — still running above levels consistent with 2% inflation. Lei... | <b>Impact:</b> Strong jobs data is a two-sided sword: confirms economic resilience (bullish earnings), but keeps the Fed hawkish (bearish duration). Near-t...  |
| June 5, 2026                                                                                                                                                                                                                                                                                                    | ▼ ISM Services PMI Drops to 48.7 — First Contraction in 9 Months                                                                                                |
| The Institute for Supply Management's Services PMI fell to 48.7 in May, below the 50-point expansion/contraction threshold for the first time since August 2025. The business activity sub-index dropped sharply (51.2 → 46.8), while the new orders component contracted for a second consecutive month (49... | <b>Impact:</b> Services contraction signals economic deceleration even as jobs remain strong — a late-cycle pattern. Bearish for consumer discretionary and...  |
| June 10, 2026                                                                                                                                                                                                                                                                                                   | ▼ CPI May 2026: +4.2% YoY — Third Consecutive Monthly Acceleration                                                                                              |
| Headline CPI for May rose 4.2% year-over-year (4.1% expected), the highest reading since April 2023. Energy (+3.9% MoM, driven by Middle East supply shock) and shelter costs (+0.4% MoM) were the primary contributors. Core CPI (ex-food & energy) was more contained at +2.9% YoY. The acceleration marks... | <b>Impact:</b> Removes all probability of 2026 rate cuts. Negative for long-duration equities, bonds, REITs. Inflation hedge assets (TIPS, gold, commoditie...  |
| June 18, 2026                                                                                                                                                                                                                                                                                                   | ▼ FOMC Holds at 3.50-3.75% — Statement Drops 'Appropriate to Hold' Language                                                                                     |
| The Federal Open Market Committee voted unanimously to maintain the federal funds rate at 3.50-3.75% at the June 17-18 meeting. However, the policy statement's key phrase — 'it is appropriate to hold' — was replaced with 'prepared to adjust the stance' if further progress stalls. Chair Warsh stated ... | <b>Impact:</b> Hawkish hold with asymmetric guidance toward hike. S&P; 500 initially fell 1.2% post-statement. Bond yields rose 12bps on the day. Worst-case... |
| June 25, 2026                                                                                                                                                                                                                                                                                                   | ▼ Q1 2026 GDP Final Estimate — Due This Week                                                                                                                    |

The Bureau of Economic Analysis will release the final Q1 2026 GDP estimate on June 25. The second estimate revised growth to -0.3% (annualized), reflecting the trade deficit and inventory drawdown. If the final estimate confirms negative growth alongside Q4 2025's -0.1%, it would mark two consecuti...

**Impact:** Technical recession confirmation would pressure equities and widen credit spreads, even if the NBER has not officially declared a recession....

## 2. This Week's Market-Moving News

Five major macro and geopolitical developments from the past week with significant implications for markets in the sessions ahead.

### 1. CPI Surges to 4.2% YoY — Highest Since April 2023

June 10, 2026

The Bureau of Labor Statistics reported that the Consumer Price Index for May rose 0.5% month-over-month and 4.2% year-over-year — the highest annual rate since April 2023 and the third consecutive monthly acceleration (Feb: 2.8%, Mar: 3.5%, Apr: 3.8%). Energy prices led the move, rising 3.9% in May alone and accounting for over 60% of the monthly increase, driven by Middle East supply disruption. Core CPI (ex-food & energy) was more contained at 0.2% MoM / 2.9% YoY. The reading landed in line with LSEG consensus but well above the Fed's 2% target — the last CPI print before FOMC.

**Market Impact (BEARISH):** Eliminates any remaining probability of a rate cut in 2026. Fed funds futures have now flipped to pricing a rate HIKE by December. Negative for bonds, REITs, and long-duration tech; watch energy sector as an inflation hedge.

### 2. SpaceX IPOs at \$1.77T — Largest IPO in History, Stock +19% on Day 1

June 12, 2026

SpaceX went public on June 12 at \$135/share, raising ~\$75 billion in the largest IPO in stock market history, surpassing Saudi Aramco's 2019 record. Shares surged 19% on the first day of trading, valuing the company at roughly \$2.1 trillion and making it the sixth-largest publicly traded U.S. company. Elon Musk retains majority ownership. The IPO is the first of three closely watched mega-tech debuts — OpenAI and Anthropic have also filed SEC paperwork — signaling renewed risk appetite for AI-adjacent assets.

**Market Impact (BULLISH):** Strong IPO demand signals healthy risk appetite and deep liquidity. Bullish for tech, aerospace, and AI-adjacent names. May unlock further IPO supply; watch for valuation discipline to be tested as OpenAI/Anthropic follow.

### 3. U.S.-Iran Peace Deal Signed — Hormuz Reopens, Oil Falls to \$80

June 15, 2026

President Trump confirmed via social media Sunday night that a comprehensive peace deal with Iran is 'now complete,' including the formal reopening of the Strait of Hormuz to international shipping. The strait handles approximately 20% of global oil supply. WTI crude fell to near \$80/barrel — its lowest since mid-April — as markets priced in restored supply. The Nasdaq-100 surged 3.15% and the S&P; 500 gained 1.74% Monday, led by technology, consumer discretionary, and industrials.

**Market Impact (BULLISH):** Lower oil prices directly reduce headline CPI pressure, potentially halting the inflation acceleration trend. Bullish for airlines, consumer discretionary, logistics, and transport. Bearish for energy producers (XLE). Could give the Fed room to pause rather than hike.

### 4. Fed Funds Futures Flip — Markets Now Price a Rate HIKE by Dec 2026

June 9, 2026

CME FedWatch data shows 70% probability of at least one 0.25% rate hike by the December 2026 FOMC meeting — a dramatic reversal from six months ago when markets were pricing three cuts. Persistent inflation above 4%, a hawkish new Fed Chair (Kevin Warsh), and strong labor data have collectively pushed the rate path higher. The June 17-18 FOMC meeting under Chair Warsh is expected to hold rates at 3.50-3.75%, but the statement's language on future policy will be closely parsed.

**Market Impact (BEARISH):** Higher-for-longer rates compress P/E multiples on growth stocks and increase refinancing risk for leveraged companies. Bullish for short-duration bonds and financials (net interest margin expansion). Watch the June 17-18 FOMC statement for forward guidance shift.

## 5. PPI for May Rises 0.4% MoM — Pipeline Inflation Remains Sticky

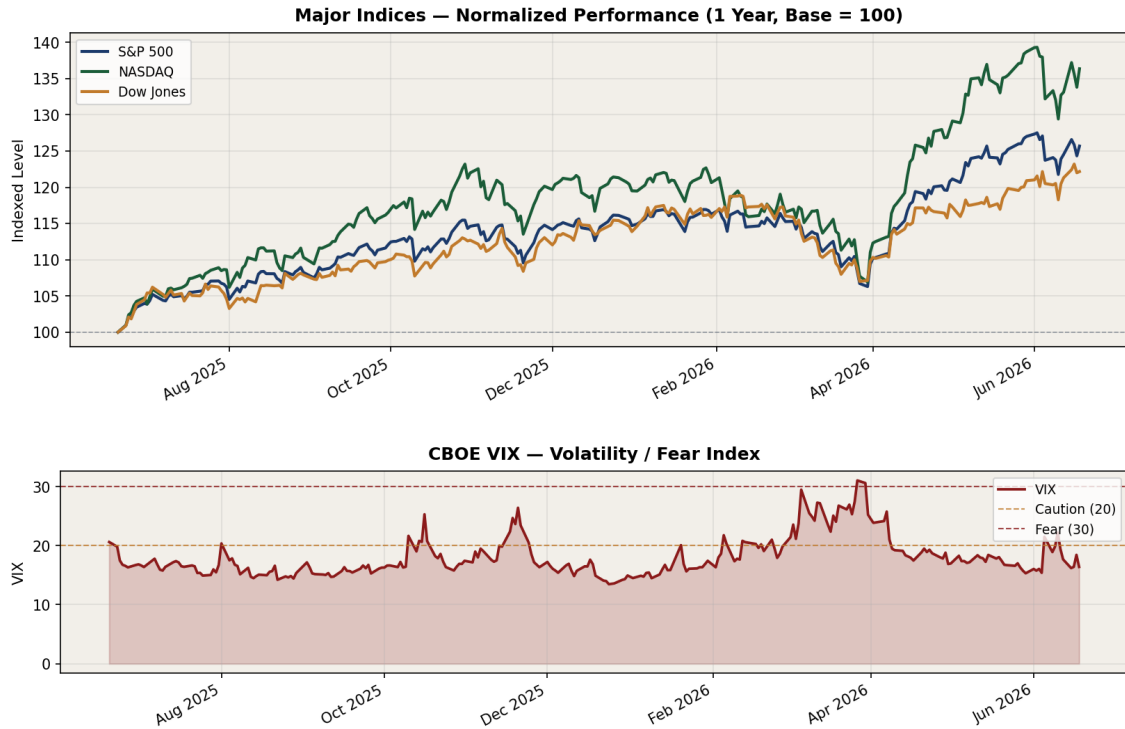
June 11, 2026

The Producer Price Index for May rose 0.4% month-over-month, a leading indicator that upstream cost pressures are still feeding through to consumer prices. PPI measures what businesses receive for their output and typically leads CPI by 1-3 months. Services PPI was particularly elevated, suggesting inflation is broadening beyond energy into the core services economy. Combined with the 4.2% CPI print, the data paints a picture of stubborn, broad-based inflation that is unlikely to resolve quickly even if oil prices stabilize.

**Market Impact (BEARISH):** Sticky PPI signals CPI will remain elevated in June and July. Bearish for consumer staples margins and rate-sensitive sectors. Supports the Fed's hawkish pivot narrative. Watch earnings calls in July for margin compression commentary.

### 3. Market Overview

Major indices are normalized to 100 at the start of the year to compare relative strength. The VIX measures implied volatility — readings below 15 indicate complacency, 20–30 signals concern, and above 30 marks fear or panic.

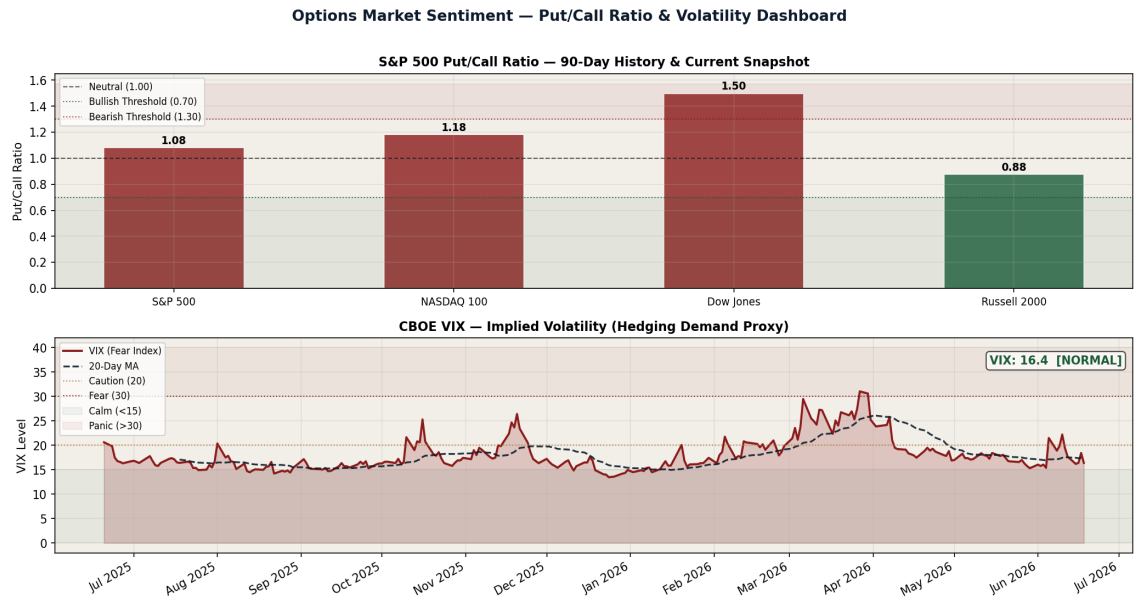


**VIX Signal:** VIX at 16.4 — **Calm markets.** Healthy risk appetite.

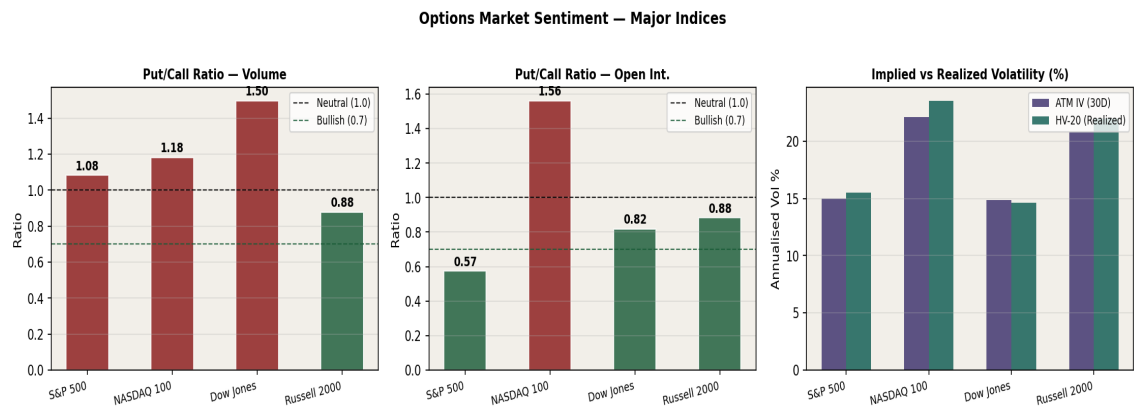
## 4. Options Sentiment — Put/Call Ratios, Time Series & Greeks

The put/call ratio measures market sentiment: a ratio above 1.0 means more puts than calls are trading (bearish hedging activity), while below 0.7 signals bullish complacency (historically a contrarian warning). The 90-day time series tracks how sentiment has evolved — rising PCR trends often precede market bottoms; falling PCR trends can precede corrections. Implied Volatility (IV) vs Historical Volatility (HV-20) shows whether options are expensive or cheap relative to recent realized moves — a key input for options strategy selection. Greeks are computed via Black-Scholes for the nearest at-the-money (ATM) strike on front-month expiry.

### S&P; 500 Put/Call Ratio — 90-Day History & VIX Context



### Today's Snapshot — All Major Indices



| Index        | Price    | Expiry     | ATM Strike   | Call Δ | Call Γ | Call Θ/day | Call Vega | Put Δ  | P/C Vol | IV Skew |
|--------------|----------|------------|--------------|--------|--------|------------|-----------|--------|---------|---------|
| S&P 500      | \$746.74 | 2026-06-25 | \$747.0 (4d) | 0.504  | 0.0340 | \$-0.620   | \$0.312   | -0.496 | 1.08    | 0.305   |
| NASDAQ 100   | \$740.62 | 2026-06-25 | \$741.0 (4d) | 0.502  | 0.0233 | \$-0.889   | \$0.309   | -0.498 | 1.18    | 0.266   |
| Dow Jones    | \$515.52 | 2026-06-26 | \$516.0 (5d) | 0.493  | 0.0445 | \$-0.382   | \$0.241   | -0.507 | 1.50    | 0.224   |
| Russell 2000 | \$295.59 | 2026-06-25 | \$296.0 (4d) | 0.486  | 0.0619 | \$-0.335   | \$0.123   | -0.514 | 0.88    | 0.190   |

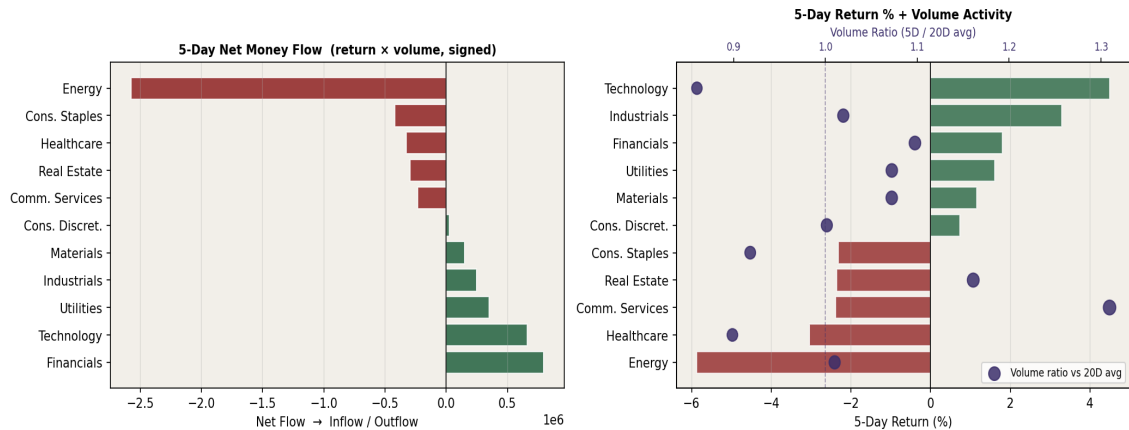
**Greeks Glossary:** Delta ( $\Delta$ ) = option price change per \$1 move in underlying. Gamma ( $\Gamma$ ) = rate of delta change (highest ATM near expiry — biggest risk). Theta ( $\Theta$ ) = daily time decay cost. Vega = price change per 1% move in implied volatility. IV Skew = avg OTM put IV minus ATM IV — high positive skew signals market fear of downside.



## 5. Sector Money Flows

Money flows are computed as the 5-day sum of (daily return × volume) — positive on up days, negative on down days. A sector gaining with above-average volume signals institutional accumulation (Strong Inflow); a declining sector on heavy volume signals distribution (Strong Outflow). Volume ratio compares the 5-day average to the 20-day average: readings above 1.1× confirm conviction behind the move.

Sector Money Flows — 5-Day Analysis

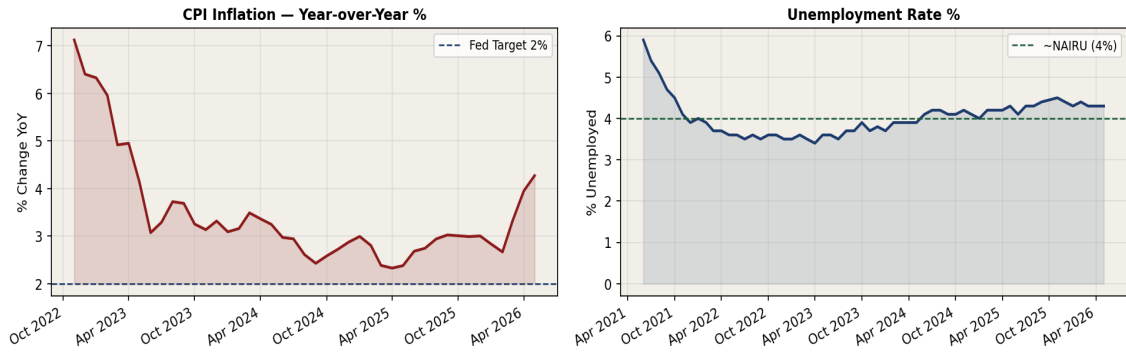


| Sector         | ETF  | 5D Return | 20D Return | Vol Ratio | Flow Signal    | Net Flow Direction |
|----------------|------|-----------|------------|-----------|----------------|--------------------|
| Financials     | XLF  | +1.81%    | +3.70%     | 1.10×     | Mild Inflow    | ▲ Inflow           |
| Technology     | XLK  | +4.49%    | +8.07%     | 0.86×     | Mild Inflow    | ▲ Inflow           |
| Utilities      | XLU  | +1.61%    | +0.56%     | 1.07×     | Mild Inflow    | ▲ Inflow           |
| Industrials    | XLI  | +3.29%    | +5.96%     | 1.02×     | Mild Inflow    | ▲ Inflow           |
| Materials      | XLB  | +1.15%    | +4.20%     | 1.07×     | Mild Inflow    | ▲ Inflow           |
| Cons. Discret. | XLY  | +0.74%    | -0.66%     | 1.00×     | Mild Inflow    | ▲ Inflow           |
| Comm. Services | XLC  | -2.38%    | -5.73%     | 1.31×     | Strong Outflow | ▼ Outflow          |
| Real Estate    | XLRE | -2.36%    | -1.28%     | 1.16×     | Strong Outflow | ▼ Outflow          |
| Healthcare     | XLV  | -3.04%    | +1.54%     | 0.90×     | Mild Outflow   | ▼ Outflow          |
| Cons. Staples  | XLP  | -2.31%    | -2.60%     | 0.92×     | Mild Outflow   | ▼ Outflow          |
| Energy         | XLE  | -5.86%    | -10.08%    | 1.01×     | Mild Outflow   | ▼ Outflow          |

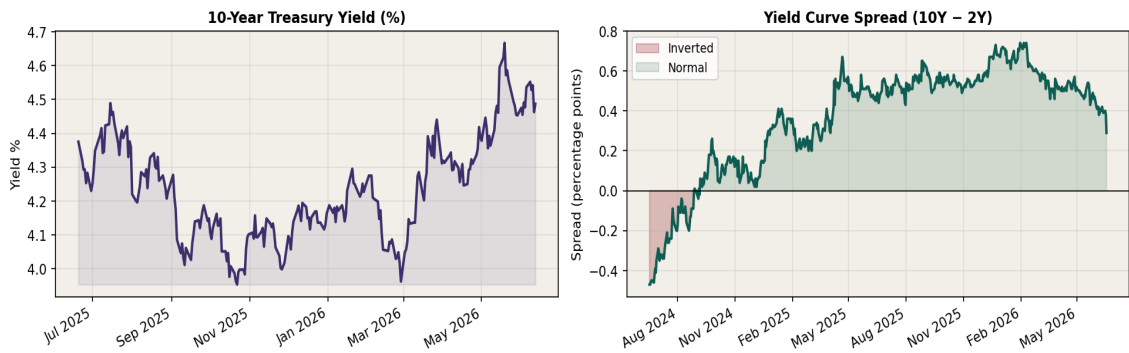
## 6. Macro Economic Indicators

The Fed's dual mandate is maximum employment and stable inflation (2% target). CPI above target forces rate hikes; a soft labor market gives room to cut. An inverted yield curve (2Y > 10Y) has preceded every US recession since the 1970s — typically with a 12–18 month lag.

### Inflation & Labor Market Indicators



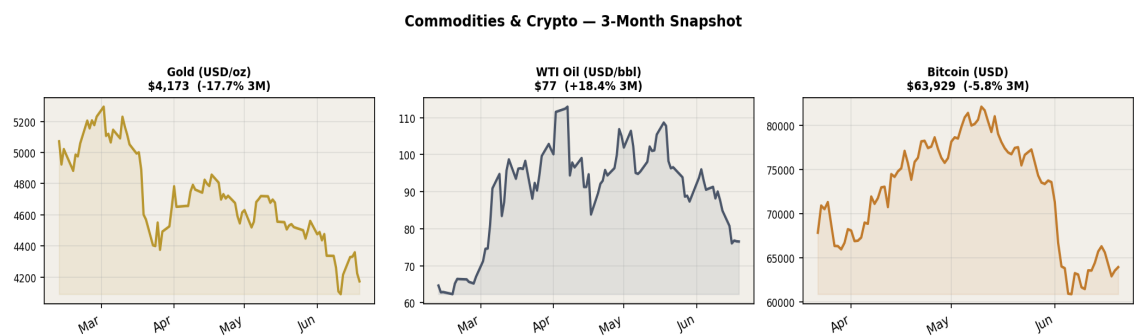
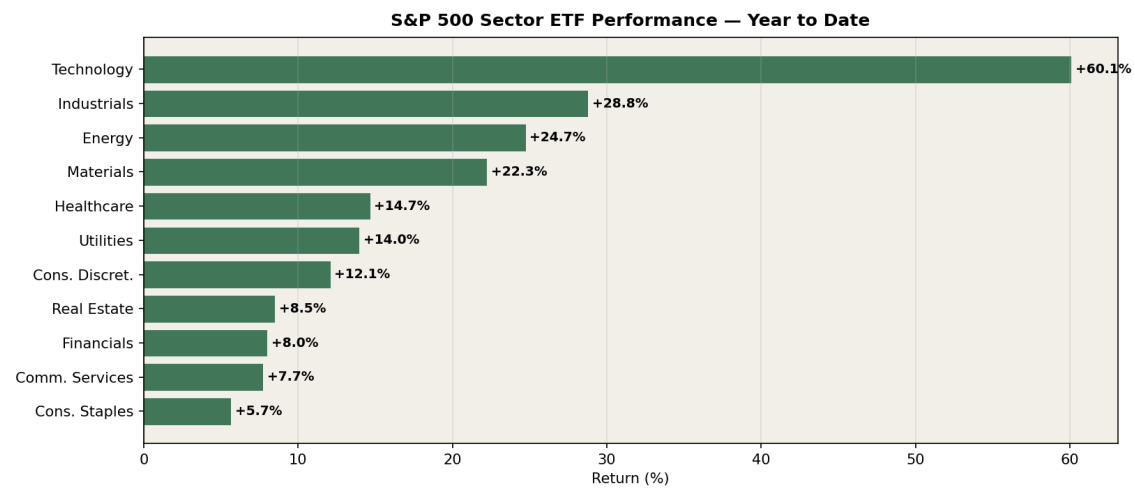
### Treasury Yield Analysis



**Yield Curve: Near flat (+0.29 pp) — uncertainty about the economic trajectory.**

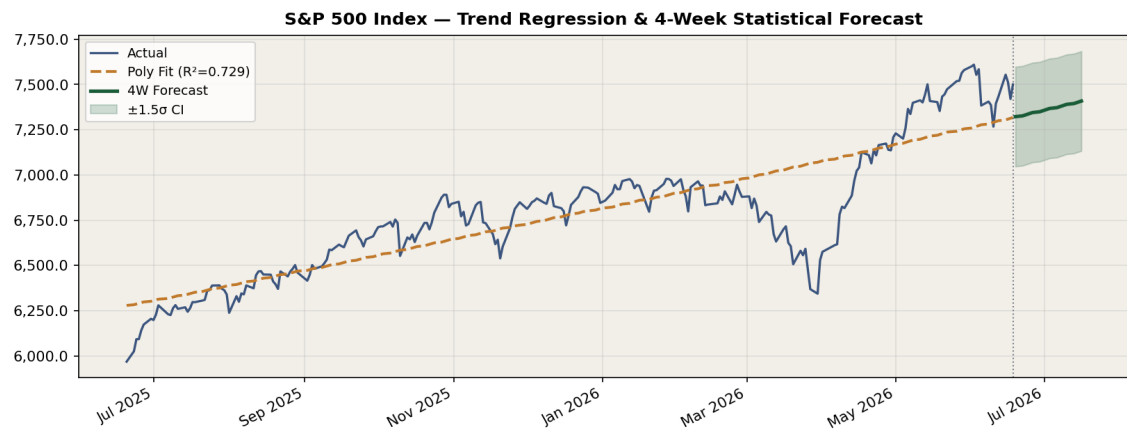
## 7. Sector Rotation & Commodities

Sector rotation signals the economic cycle phase. Defensives (Utilities, Staples, Healthcare) outperform in slowdowns; Cyclicals (Tech, Discretionary, Industrials, Energy) lead in expansions. Commodities and crypto reflect global demand, USD strength, and inflation expectations.

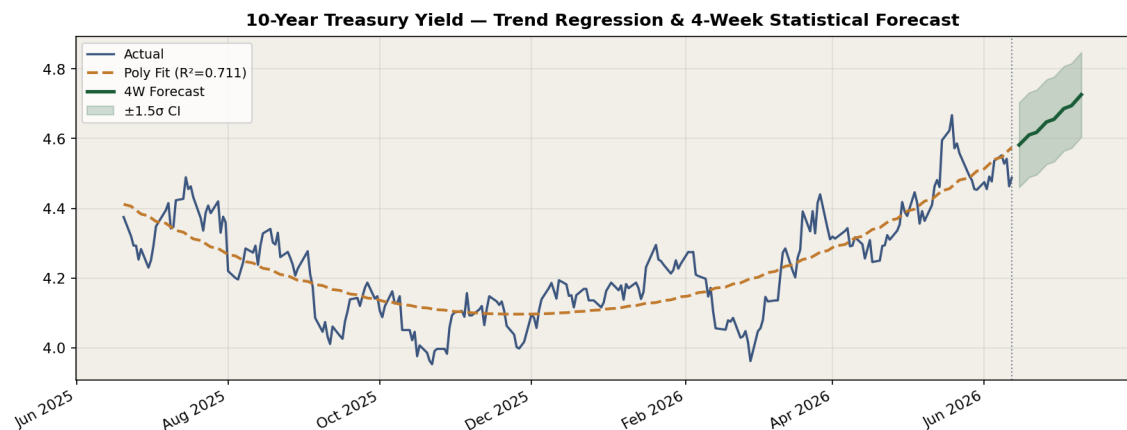


## 8. Trend Regression & 4-Week Forecasts

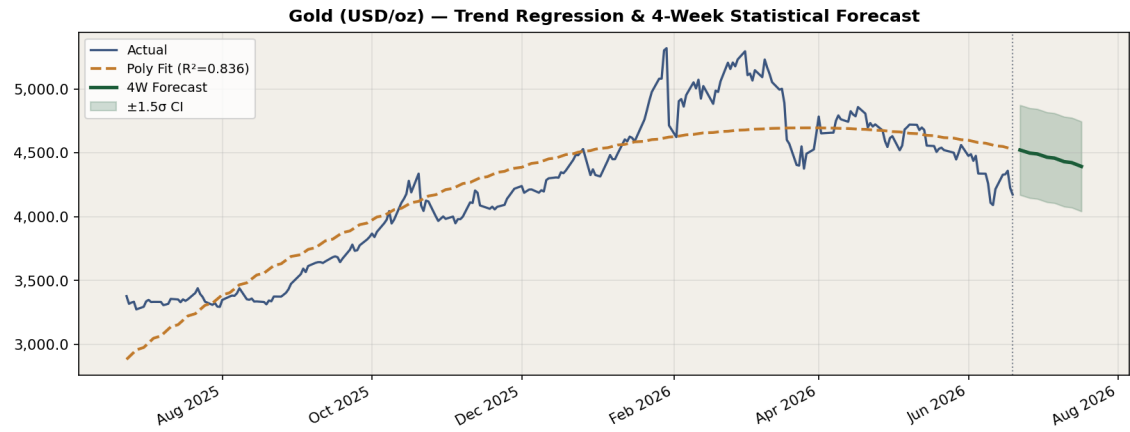
A degree-2 polynomial regression is fit to the trailing 52 weeks of price data. The dashed line extends the fitted momentum trend 4 trading weeks ( $\approx 20$  days) forward. The shaded band represents  $\pm 1.5$  standard deviations of model residuals. **These are statistical momentum projections and do not constitute investment advice. Trend direction can reverse quickly on new macro data.**



| Metric                             | Value                    |
|------------------------------------|--------------------------|
| Current Level                      | 7,500.58                 |
| 4-Week Trend Target                | 7,408.56 (-1.23%)        |
| Trend Direction                    | ↑ Uptrend → Likely LOWER |
| Model $R^2$ (polynomial)           | 0.7290                   |
| Forecast Range ( $\pm 1.5\sigma$ ) | 7,133.14 — 7,683.97      |



| Metric                             | Value                     |
|------------------------------------|---------------------------|
| Current Level                      | 4.49                      |
| 4-Week Trend Target                | 4.73 (+5.32%)             |
| Trend Direction                    | ↑ Uptrend → Likely HIGHER |
| Model $R^2$ (polynomial)           | 0.7111                    |
| Forecast Range ( $\pm 1.5\sigma$ ) | 4.60 — 4.85               |



| Metric                            | Value                     |
|-----------------------------------|---------------------------|
| Current Level                     | 4,172.90                  |
| 4-Week Trend Target               | 4,392.82 (+5.27%)         |
| Trend Direction                   | ↑ Uptrend → Likely HIGHER |
| Model R <sup>2</sup> (polynomial) | 0.8364                    |
| Forecast Range (±1.5σ)            | 4,041.24 — 4,744.41       |

## 8b. Multivariate OLS Macro Regression Models

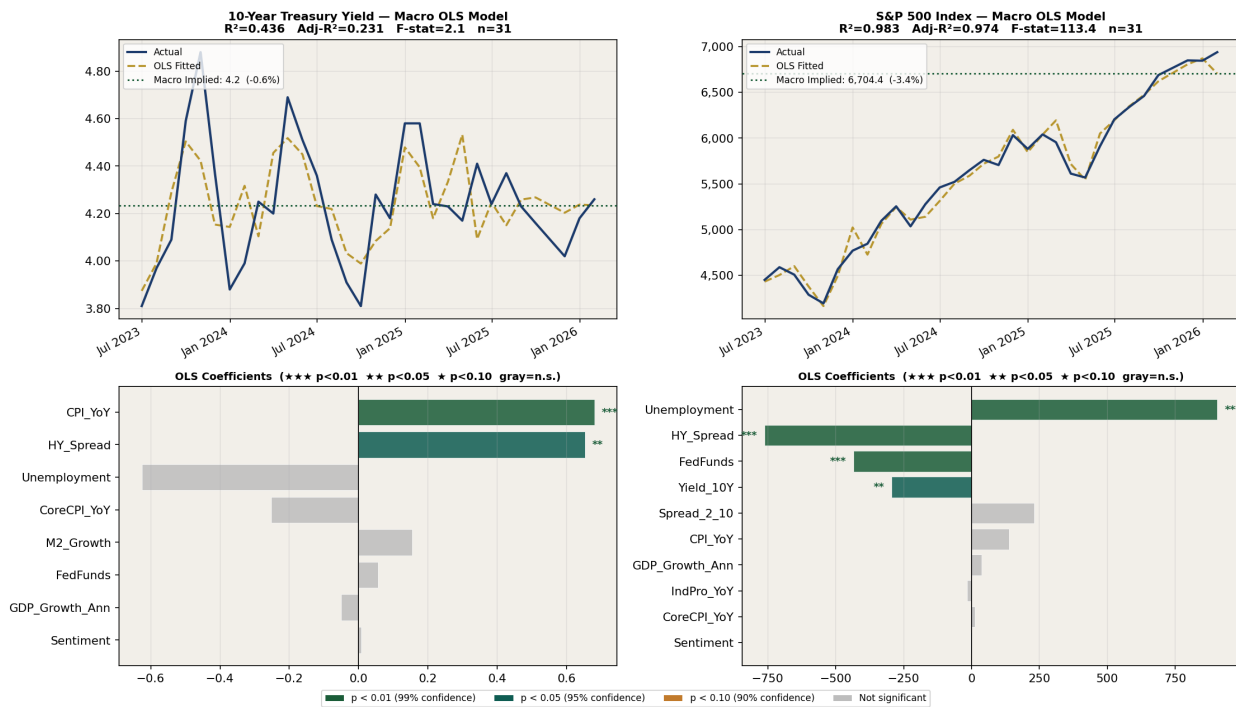
Ordinary Least Squares (OLS) models are estimated over the trailing 4 years of monthly data using a suite of FRED macro variables as predictors. Unlike the univariate trend models above, these regressions attempt to identify the **fundamental macro drivers** that explain current interest-rate levels and equity valuations — and to estimate where those fundamentals imply each variable should be trading today.

**Model 1 — 10-Year Treasury Yield** predicts the benchmark long-rate using: CPI YoY, Core CPI YoY, Federal Funds Rate, Unemployment, annualised GDP growth, M2 money-supply growth, High-Yield credit spread, and Consumer Sentiment.

**Model 2 — S&P; 500 Index Level** uses: CPI YoY, Core CPI YoY, Federal Funds Rate, Unemployment, GDP growth, Industrial Production YoY, 10-Year Yield, 2Y-10Y spread, Consumer Sentiment, and HY spread.

*Interpretation: the 'Macro Implied' level is the model's estimate of fair value given current macro conditions. A large gap between Implied and Actual may indicate over- or under-valuation relative to the prevailing macro regime. Stars denote coefficient significance: ★★★  $p < 0.01$ , ★★  $p < 0.05$ , ★  $p < 0.10$ .*

Multivariate OLS Macro Models — Predicting Interest Rates & Equity Levels



### 10-Year Treasury Yield — OLS Coefficient Table

Current: 4.26 | Macro-Implied: 4.23 -0.6% |  $R^2$ : 0.436  $\text{Adj-}R^2$ : 0.231  $F\text{-stat}$ : 2.1  $n=31$

| Variable       | Coefficient | t-Stat | p-Value | Sig |
|----------------|-------------|--------|---------|-----|
| CPI YoY        | 0.6798      | 3.31   | 0.0032  | *** |
| CoreCPI YoY    | -0.2532     | -0.89  | 0.3843  |     |
| FedFunds       | 0.0559      | 0.27   | 0.7929  |     |
| Unemployment   | -0.6260     | -1.10  | 0.2852  |     |
| GDP Growth Ann | -0.0506     | -0.95  | 0.3517  |     |
| M2 Growth      | 0.1540      | 1.72   | 0.1002  |     |

|           |        |      |        |    |
|-----------|--------|------|--------|----|
| HY Spread | 0.6527 | 2.68 | 0.0135 | ** |
| Sentiment | 0.0072 | 0.53 | 0.6027 |    |

S&P; 500 Index — OLS Coefficient Table

Current: 6,939.03 | Macro-Implied: 6,704.42 -3.4% | R²: 0.983 Adj-R²: 0.974 F-stat: 113.4 n=31

| Variable       | Coefficient | t-Stat | p-Value | Sig |
|----------------|-------------|--------|---------|-----|
| CPI YoY        | 138.1436    | 1.12   | 0.2760  |     |
| CoreCPI YoY    | 11.7074     | 0.07   | 0.9456  |     |
| FedFunds       | -433.5767   | -3.87  | 0.0010  | *** |
| Unemployment   | 905.1167    | 2.99   | 0.0073  | *** |
| GDP Growth Ann | 36.9892     | 1.36   | 0.1876  |     |
| IndPro YoY     | -15.9841    | -0.37  | 0.7127  |     |
| Yield 10Y      | -293.5052   | -2.53  | 0.0198  | **  |
| Spread 2 10    | 230.2901    | 1.23   | 0.2312  |     |
| Sentiment      | -4.4607     | -0.56  | 0.5850  |     |
| HY Spread      | -761.8960   | -6.24  | 0.0000  | *** |

## 9. Upcoming Economic Events (Next 30 Days)

Key data releases and Fed decisions that historically cause the largest intraday moves. **Gold-highlighted rows** fall within the next 7 days. HIGH-impact events are marked in red and typically move equity markets  $\geq 0.5\%$  on release day.

| Date                  | Event                         | Type      | Impact |
|-----------------------|-------------------------------|-----------|--------|
| Jun 25, 2026 (In 5d)  | GDP Q1 2026 — Final           | GDP       | HIGH   |
| Jun 26, 2026 (In 6d)  | PCE Price Index (May 2026)    | Inflation | HIGH   |
| Jul 02, 2026 (In 12d) | Non-Farm Payrolls (June 2026) | Labor     | HIGH   |
| Jul 08, 2026 (In 18d) | 10-Year Treasury Note Auction | Treasury  | MED    |
| Jul 10, 2026 (In 20d) | UoM Consumer Sentiment (July) | Consumer  | MED    |
| Jul 14, 2026 (In 24d) | CPI Report (June 2026)        | Inflation | HIGH   |



## 10. Watch List & Stock Signals

Stocks are scored 0–10 on: 3-month momentum, 1-month momentum, RSI positioning, and 50/200-day MA golden cross. **BUY** (score  $\geq 7$ ) = positive momentum alignment; **HOLD** ( $\geq 5$ ) = await clearer entry; **WATCH** ( $< 5$ ) = unfavorable conditions.

### Top Signals This Week:

**CAT** (Score 9.0) — Infrastructure capex cycle beneficiary. RSI 67 (Neutral), 3M +45.1%, Golden cross: ✓.

**JPM** (Score 8.0) — Best-in-class bank, net interest income leader. RSI 71 (Overbought), 3M +14.1%, Golden cross: ✓.

**NVDA** (Score 7.5) — AI/GPU leader; data center demand accelerating. RSI 50 (Neutral), 3M +22.1%, Golden cross: ✓.

| Ticker | Price    | 1W %  | 1M %   | 3M %   | YTD %   | RSI | Signal     | Rating | Score |
|--------|----------|-------|--------|--------|---------|-----|------------|--------|-------|
| CAT    | \$985.82 | +8.3% | +13.0% | +45.1% | +176.4% | 67  | Neutral    | BUY    | 9.0   |
| JPM    | \$325.22 | +1.4% | +7.7%  | +14.1% | +20.6%  | 71  | Overbought | BUY    | 8.0   |
| NVDA   | \$210.69 | +2.7% | -5.6%  | +22.1% | +46.7%  | 50  | Neutral    | BUY    | 7.5   |
| PG     | \$150.38 | +0.5% | +5.6%  | +5.0%  | -2.7%   | 65  | Neutral    | HOLD   | 6.5   |
| TLT    | \$86.75  | +1.1% | +3.8%  | +2.3%  | +4.9%   | 64  | Neutral    | HOLD   | 6.5   |
| MSFT   | \$379.40 | -2.9% | -9.7%  | -0.4%  | -19.9%  | 19  | Oversold   | HOLD   | 5.5   |
| JNJ    | \$228.39 | -5.2% | +0.2%  | -2.4%  | +56.3%  | 54  | Neutral    | HOLD   | 5.5   |
| BRK-B  | \$489.46 | +0.0% | +1.8%  | +1.8%  | +1.0%   | 66  | Neutral    | HOLD   | 5.5   |
| META   | \$577.22 | +1.9% | -4.5%  | -2.7%  | -15.1%  | 36  | Neutral    | WATCH  | 4.0   |
| GLD    | \$387.12 | +0.2% | -7.3%  | -6.4%  | +24.8%  | 33  | Neutral    | WATCH  | 4.0   |
| XOM    | \$137.81 | -6.3% | -11.8% | -13.1% | +24.0%  | 38  | Neutral    | WATCH  | 2.5   |

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